4. Book Debts (or) Sundry Debtors

Sundry debtors fall in the category of current assets. The task of verifying this asset would be reduced largely in case there is an efficient internal check system for recording sales and writing off the sales ledger. According to the Companies Act, 2013 the book debts of a company should be shown as under:

1. Debts considered good in respect of which the company is fully secured.
2. Debts considered good for which the company holds no security other than the debtor's personal security.
3. Debts considered doubtful or bad.

The object of verification in case of Book Debts is to ascertain-

(A) Correctness or Accuracy of the amount of book debt.

(B) Validity or Confirmation of claims against recorded debtors.

(C) Collectability and determination of realisable value.

(D) Appropriate disclosure in accordance with legal provisions and professional pronouncements.

For verification and valuation of debtors or book debts, an auditor should carefully examine the following points:

(A) Accuracy of the amount of Book Debts or Debtors: Accuracy of the book debts amount or debtors amount shall be:

1. Auditor should obtain a list (Schedule) of debtors, duly certified by some responsible officer of the company.
2. Check whether the credit balance of the sales ledger is in agreement with the customers account or not.

LEGAL DECISIONS

- Lord Justice Lindley, while delivering the famous judgment in the case of Kingston Cotton Mills Ltd., (1896) observed. "It is no part of the auditor's duty to take stock. No one can contend that it is so. He must rely on other people for details of the stock-in-trade. In the case of a cotton mill, he must rely on some skilled person for the material necessary to enable him to enter the stock in trade at its proper value in the balance sheet".
- In the same case, Lord Justice Lopes observed, "An auditor is not bound to be a detective, or as was said to approach his work with a foregone conclusion that there is something wrong. The auditor was acquitted for breach of duty in connection with valuation and verification of stock-in-trade. It is observed from this case "An Auditor is a watch dog and not a bloodhound". He is justified in believing they tried servants of the company in whom confidence is placed by the company. He is entitled to assume that they are honest to rely upon their representations, provided he takes reasonable care".
- Re Westminster Road Construction & Engineering Co. Ltd. (1932), it was held that an auditor must make the fullest use of all materials available to him and although he is neither stock taker and nor a valuer of work-in-progress, he will be guilty of negligence if he fails to take notice of all available evidences from which it could be reasonably deduced that the work-in-progress was overvalued.

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